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Debt Freedom Planner

Your Complete System for Eliminating Debt and Building Wealth

Debt inventory · Snowball & Avalanche · Budget · Net worth tracker

A WiseIQ Digital Resource

A note before you start: This planner works. But it only works if you use it. The most sophisticated debt strategy in the world fails if you do not track your numbers. Commit to spending 15 minutes with this planner every month. That is the only requirement.

PART 1 — THE DEBT INVENTORY

Why Most People Never Get Out of Debt

The single biggest reason people stay in debt for decades is that they never look at the full picture at once. They know they have "some credit card debt" and "a car payment" and "student loans," but they have never added it all up and written it down in one place. This is not an accident — debt is designed to feel abstract, and minimum payments are designed to feel manageable.

The minimum payment trap: A $5,000 balance at 24% APR with minimum payments only will take over 20 years to pay off and cost more than $7,000 in interest alone — on top of the original $5,000. The lender profits more from your debt than you originally borrowed.

Complete Debt Inventory

List every debt you have. Include credit cards, student loans, auto loans, personal loans, medical debt, buy-now-pay-later balances, and money owed to family.

#	Creditor	Type	Balance	APR	Min Payment	You Pay	Payoff Date
1			$	%	$	$	
2			$	%	$	$	
3			$	%	$	$	
4			$	%	$	$	
5			$	%	$	$	
6			$	%	$	$	
7			$	%	$	$	
8			$	%	$	$	
9			$	%	$	$	
10			$	%	$	$	
	TOTAL		$		$	$	

My total debt today: $____________ My total minimum payments/month: $____________

True Monthly Interest Cost

For each high-interest debt, calculate your monthly interest charge: Balance × APR ÷ 12. If your minimum payment equals your monthly interest charge, you are paying off exactly $0 of principal.

Creditor	Balance	APR	Monthly Interest	% of Min Payment Going to Interest
	$	%	$	%
	$	%	$	%
	$	%	$	%
	$	%	$	%
TOTAL	$		$	

PART 2 — THE PAYOFF WORKSHEETS

Choosing Your Method: Snowball vs. Avalanche

	Debt Snowball	Debt Avalanche
How it works	Pay smallest balance first	Pay highest interest rate first
Best for	People who need motivation and quick wins	Disciplined people who want to minimize interest
Total interest paid	Slightly more	Slightly less
Time to first payoff	Faster	Slower (first payoff may take months)
Who it works for	Most people	People with strong financial discipline

The honest truth: The Debt Avalanche saves more money on paper. But the Debt Snowball gets more people out of debt in real life, because motivation matters more than math for most people. If you have ever started a debt payoff plan and quit, try the Snowball.

Where to Find Extra Money

- Cancel subscriptions you do not use (the average American has $219/month in forgotten subscriptions)
- Sell items you own but do not use — furniture, electronics, clothes, sports equipment
- Pick up one extra shift or freelance project per month
- Temporarily pause retirement contributions beyond any employer match

• Reduce dining out by two meals per week

• Refinance high-interest debt to a lower rate (balance transfer cards, personal loans)

Worksheet A: Debt Snowball (Smallest Balance First)

Order	Creditor	Balance	Min Payment	Extra Payment	Total/Month	Months	Payoff Date
1st (smallest)		$	$	$	$		
2nd		$	$	(rolled)	$		
3rd		$	$	(rolled)	$		
4th		$	$	(rolled)	$		
5th		$	$	(rolled)	$		
6th		$	$	(rolled)	$		
7th		$	$	(rolled)	$		
8th (largest)		$	$	(rolled)	$		

My extra payment amount each month: $____________ Estimated months to debt freedom: ____________ Estimated debt-free date: ____________

Worksheet B: Debt Avalanche (Highest Interest Rate First)

Order	Creditor	Balance	APR	Min Payment	Extra	Total/Month	Months	Payoff Date
1st (highest APR)		$	%	$	$	$		
2nd		$	%	$	(rolled)	$		
3rd		$	%	$	(rolled)	$		
4th		$	%	$	(rolled)	$		
5th		$	%	$	(rolled)	$		
6th		$	%	$	(rolled)	$		
7th		$	%	$	(rolled)	$		
8th (lowest APR)		$	%	$	(rolled)	$		

Estimated interest saved vs. minimum payments only: $____________ Estimated debt-free date: ____________

Debt Payoff Progress Tracker

Milestone	Target Date	Achieved Date
Debt inventory completed		
First extra payment made		
Debt #1 paid off		
Debt #2 paid off		
Debt #3 paid off		
Debt #4 paid off		
Debt #5 paid off		
Total debt below $____________		
Total debt below $____________		
FINAL DEBT PAID OFF — DEBT FREE ■		

PART 3 — THE MONTHLY BUDGET TEMPLATE

Zero-Based Budgeting: The Only Budget That Actually Works

A zero-based budget assigns every dollar of your income to a specific category before the month begins, so that income minus expenses equals zero. You are not spending less — you are spending intentionally. Every dollar has a job. Money left over after expenses goes directly to debt payoff.

Month: ____________ Year: ____________

Income

Source	Expected	Actual	Difference
Primary job (take-home)	$	$	$
Secondary job / side income	$	$	$
Freelance / gig income	$	$	$
Other income	$	$	$
TOTAL INCOME	$	$	$

Fixed Expenses

Category	Budgeted	Actual	Difference
Rent / mortgage	$	$	$
Car payment	$	$	$
Car insurance	$	$	$
Health insurance	$	$	$
Internet	$	$	$
Phone	$	$	$
Streaming services	$	$	$
Gym / fitness	$	$	$
Other subscriptions	$	$	$
Child care	$	$	$
Student loan payment	$	$	$
Other fixed	$	$	$

SUBTOTAL	$	$	$

Variable Expenses

Category	Budgeted	Actual	Difference
Groceries	$	$	$
Dining out / takeout	$	$	$
Gas / transportation	$	$	$
Electricity / utilities	$	$	$
Personal care	$	$	$
Clothing	$	$	$
Medical / prescriptions	$	$	$
Home supplies / repairs	$	$	$
Entertainment	$	$	$
Gifts	$	$	$
Pet expenses	$	$	$
Other variable	$	$	$
SUBTOTAL	$	$	$

Debt Payments

Creditor	Minimum Due	Amount Paying	Extra This Month
	$	$	$
	$	$	$
	$	$	$
	$	$	$
	$	$	$
SUBTOTAL	$	$	$

Savings

Category	Budgeted	Actual
Emergency fund	$	$

Retirement (401k / IRA)	$	$
Sinking funds (car repair, medical, etc.)	$	$
Other savings	$	$
SUBTOTAL	$	$

Budget Summary	Amount
Total Income	$
Total Fixed Expenses	$
Total Variable Expenses	$
Total Debt Payments	$
Total Savings	$
Remaining (should be $0)	**$**

If the remaining amount is **positive**, add it to your debt payoff target. If it is **negative**, find a category to cut before the month begins.

The Sinking Fund Strategy

A sinking fund is money you set aside monthly for a predictable future expense. Instead of being blindsided by a $600 car repair, you save $50/month and the money is already there when you need it.

Sinking Fund	Annual Cost (Estimate)	Monthly Contribution
Car maintenance / repair	$600–$1,200	$50–$100
Medical / dental	$500–$1,000	$42–$83
Home repair	$1,000–$3,000	$83–$250
Annual insurance premiums	Varies	Divide by 12
Holiday / gifts	$500–$1,500	$42–$125
Vacation	$1,000–$3,000	$83–$250
Clothing	$600–$1,200	$50–$100

PART 4 — NET WORTH TRACKER

Why Net Worth Matters More Than Income

Income is what you earn. Net worth is what you keep. Two people can earn the same salary — one builds wealth, one stays broke — and the difference is entirely in how they manage what they earn. Net worth = Total Assets – Total Liabilities.

The goal is not to have a high net worth immediately. The goal is for your net worth to be higher this month than last month. Even $100 of improvement is progress. Even a negative net worth that is becoming less negative is progress.

Assets Inventory

Asset	Current Value
Checking account(s)	$
Savings account(s)	$
Emergency fund	$
Investment accounts (brokerage)	$
401(k) / 403(b)	$
IRA (Traditional or Roth)	$
HSA	$
Home value (current market estimate)	$
Vehicle(s) (current market value)	$
Other real estate	$
Other assets	$
TOTAL ASSETS	$

Liabilities Inventory

Liability	Current Balance
Credit card balances (total)	$
Auto loan(s)	$
Student loans	$

Mortgage	$
Personal loans	$
Medical debt	$
Other debt	$
TOTAL LIABILITIES	$

Net Worth Calculation	
Total Assets	$
Total Liabilities	$
NET WORTH (Assets – Liabilities)	**$**

12-Month Net Worth Progress Log

Month	Total Assets	Total Liabilities	Net Worth	Change
Month 1 (Baseline)	$	$	$	—
Month 2	$	$	$	$
Month 3	$	$	$	$
Month 4	$	$	$	$
Month 5	$	$	$	$
Month 6	$	$	$	$
Month 7	$	$	$	$
Month 8	$	$	$	$
Month 9	$	$	$	$
Month 10	$	$	$	$
Month 11	$	$	$	$
Month 12	$	$	$	$

Debt-to-Income Ratio Tracker

Your DTI is the percentage of your gross monthly income that goes toward debt payments. Below 36% is healthy; below 20% is excellent. Formula: DTI = (Total Monthly Debt Payments ÷ Gross Monthly Income) × 100

Month	Gross Monthly Income	Total Monthly Debt Payments	DTI %
Month 1	$	$	%
Month 3	$	$	%
Month 6	$	$	%
Month 9	$	$	%
Month 12	$	$	%

DTI Goal: ______% by ____________ (date)

Milestones Worth Celebrating

Milestone	Date Achieved
Completed debt inventory	
First month on budget	
First debt paid off	
Net worth no longer negative	
Emergency fund fully funded (3 months)	
Half of total debt paid off	
DTI below 36%	
DTI below 20%	
Last debt paid off — DEBT FREE	
Net worth reaches $10,000	
Net worth reaches $25,000	
Net worth reaches $50,000	

Recommended Next Steps After Becoming Debt Free

1. **Build a 3–6 month emergency fund** in a high-yield savings account (current rates: 4–5% APY). This prevents you from ever going back into debt for an emergency.

2. **Max out your 401(k) or IRA.** In 2025, you can contribute up to $23,500 to a 401(k) and $7,000 to an IRA. If your employer matches contributions, that is a 50–100% instant return on investment.

3. **Invest in a taxable brokerage account** in low-cost index funds once tax-advantaged accounts are maxed. S&P; 500 index funds have averaged approximately 10% annually over the past century.

4. **Pay extra on your mortgage (optional).** Mortgage debt is typically your lowest-interest debt. Investing historically outperforms paying off a 3–6% mortgage early — but if being completely debt-free matters to your peace of mind, there is nothing wrong with paying it off.